

India has been the largest GDP contributor world-wide (ranging between 32 per cent to 24.4 per cent), with the exception of two centuries (16th and 17th), where she stood second to China by a margin of about 0.5 percentage points at the turn of century 1500 and by about 7 percentage points at the turn of century 1600.

- 4) During the period from 1700 to 1870, India's GDP contribution slowed down to more than half, dropping around 12 percentage points from 24.4 per cent to 12 per cent. In the same period Western Europe shoot up by approximately 33 per cent and 11 percentage points, from ~22 per cent to 33per cent.

At the beginning of British rule in mid-18th century, India supplied quarter of all manufacture goods in the world and Indian handicrafts constituted chief export items of European trade. While India produced about 25 per cent of world industrial output in 1750, this figure fell to just two per cent by 1900. The four great textile export regions in the eighteenth century were Punjab, Gujarat, Coramandal and Bengal.

The decline of Mughal empire did not lead to anarchy as it is sometimes believed. There was shift in economic activity from centre to periphery. In Bengal, Hyderabad and Awadh, former provincial governors established effectively independent rules. A number of new successor states thus came into being, the most powerful being dominion of Marathas.

By early 18th century, Bengal became a key region for the English Company's trade in textiles, and Bengal goods came to comprise nearly 60 per cent of the English imports from Asia. The Bengal trade was often described by the factors as 'the best flower of the Company's garden' or the 'choicest jewel'.

Import of Indian textile was largely financed by bullion. European traders exchanged South American bullions (mainly silver) for manufactured goods and spices from India. In case of English Co., in the first two decades of 18th century the amount of precious metal to the total value of import was between 90 and 94 per cent.

However, the influx of bullion stopped completely after defeat of Nawab of Bengal Siraj-ud-daula in the Battle of Plassey (June 1757). This marked the beginning of political supremacy of the English East India Company in India. Now the resources of Bengal financed the English Company's investments.

1.3 BRITISH RULE: STATE OF COLONIAL ECONOMY

1.3.1 Disruption of the Traditional Economy

Colonialism led to integration of India's economy with the world economy but in a subservient manner. The economic policies followed by the British led to the rapid transformation of the Indian economy into a colonial economy whose nature and structure were determined by the needs of the British economy. The 18th century was a period of transition. The economy became more exposed to the world economy. And as colonial rule took root, the foundations were laid for a new economy based on peasant exports and support for the global industrial

enterprise. India became a major market for British manufactures, a principal source for raw materials and food, and an important entity of the British empire. The pattern of trade changed dramatically during the 19th century. While India had dominated world textile trade in the 18th century, it lost this position in the 19th century. The composition of trade changed. Export of textiles and import of bullion dominated the 18th century. Export of cotton cloth dropped sharply after 1800 and import of machine-made cloth and yarn expanded. At the time of World War-I, Indians consumed 85 per cent of cotton piece goods (fabrics, made in standard width and length) manufactured at Lancashire. Textiles began to be replaced by new exportable articles such as indigo, opium, silk, tobacco, and cotton and to a limited extent by salt, sugar, and saltpetre. The basic economic model of self-sufficient rural economy was disrupted.

1.3.2 Impoverishment of the Peasantry

The first to suffer was the agriculture sector. With the grant of Diwani (taxation rights) of Bengal, Bihar and Odisha in 1765, the policy of East India Company to extract the largest possible revenue led to complete devastation of India's agrarian economy and the society in the Diwani provinces in a matter of a few years. One indication of the prevailing impoverishment and the general chaos was seen in the famine of 1769-70, in which about one-third of undivided Bengal's population was wiped off.

The Company replaced the existing land tenure system and introduced three different systems – the *zamindari* in the eastern India, the *ryotwari* in the southern and western India and the *mahalwari* in the western Gangetic plains. The purpose was to secure the maximum guaranteed land revenue returns, at the expense of cultivators well-being. The *zamindari* system or Permanent Settlement gave property rights to zamindars and revenue was fixed in perpetuity. The peasantry became tenants of zamindars. The *ryotwari* settlement gave property rights to the peasants and the *mahalwari* settlement gave property rights to dominant kinship lineages in the village. In both the *ryotwari* and *mahalwari* systems revenue was subject to revision, approximately every 30 years. In the *zamindari* areas, the peasants were left to the mercies of the zamindars who raised rents to unbearable limits. The peasants were compelled to pay illegal cesses and were oppressed in diverse ways. In the *ryotwari* and *mahalwari* areas, the condition of the cultivators was no better. Here the government took the place of the zamindars and levied excessive land revenue which was fixed as high as one-third to one-half of the produce.

Since the primary aim of the Company was to maximise revenue income, a common feature of all the settlements was over-assessment. One of the main causes of the increase in poverty and the deterioration of agriculture in the 19th century was heavy revenue assessment of the land. The rates fixed fell beyond the paying capacity of the cultivators. Ultimately the cultivators had to rely on the support from the local money lender, an informal source of credit. The farmer's assets got transferred to the money lender. Landlords and rich farmers found lending far more profitable and safer than making productive investment in land they owned or controlled. There were thus arrears of payment, mounting debt, increasing land sales and dispossession. However, subsequent research established that the effects of these changes were less spectacular than once imagined. "Land transfers from the peasant to the professional lender," remarks Tirtankar Roy

“happened on a limited scale”(The Economic History of India 1857-1947,OUP, 2011, p.134). He further adds, “For the very reason that land transfers between peasants and non-peasants posed large transaction costs, much rural credit business came into the hands of the rich peasant rather than professional lender”.(ibid. p.135)

Agriculture suffered. It stagnated in most parts of the country and even deteriorated over the years, resulting in extremely low yields per acre,. There was a decline in the per capita agricultural production which fell by 14 per cent between 1901 and 1941. The fall in per capita food grains availability was even greater, being over 24 per cent.

1.3.3 Commercialisation of Agriculture

Commercialisation of agriculture is a sign of progress towards capitalist agriculture. In many areas, a class of rich peasants developed because of commercialisation and tenancy legislation, but most of them preferred to buy land and become landlords or to turn to money lending. As a result, except in a few pockets, capitalist farming was slow to develop. Importantly, commercialisation of agriculture did not lead to capitalist farming or improved technology. Its main consequence was the diversion of better soil, available water, and other resources from food crops to commercial crops.

The growing commercialisation of agriculture also helped the moneylender-cum-merchant to exploit the cultivator. The poor peasant was forced to sell his produce just after the harvest and at whatever price he could get as he had to meet in time the demands of the government, the landlord and the moneylender. This placed the peasant at the mercy of the grain merchant, who was able to dictate terms and who purchased his produce at a price much lower than the market price. Thus, a large share of the benefit of the growing trade in agricultural products was reaped by the merchant, who was very often also the village moneylender.

1.3.4 Agricultural Labourers

Impoverished cultivators, most of them small peasants, tenants-at-will, and sharecroppers, had no resources or incentive to invest for the improvement of agriculture by using better cattle and seeds, more manure and fertilizers and improved techniques of production. The loss and overcrowding of land caused by de-industrialisation and lack of modern industry compelled the landless peasants and ruined artisans and handicraftsmen to become either tenants of the moneylenders and zamindars by paying rack-rent or agricultural labourers at starvation wages. For most of the colonial period, landlessness had been rising.

1.3.5 Lack of Modernisation

Of the revenue that the colonial state secured, it spent very little on improving agriculture. It devoted almost its entire income to meet the needs of the British-Indian administration, make payments of direct and indirect tribute to England, and serve the interests of British trade and industry.

At a time when agriculture in developed countries was being modernised and reformed, there was a near absence of change in the technological and production base of the Indian agriculture. “The basic set of agricultural implements”, remarks